CASE STUDY

The Failed Big Bang ERP Rollout

Analysis & Turnaround Plan

ERP Project Management & Implementation Strategies
BSIS 4th Year

Group 5

Joenard Llano

Jirah Dia

Bin Macasimbar

Tyrone Mendoza

Cedrick Opulencia

What Went Wrong in Three Days

CASE

Sunday

Big Bang cutover: every legacy system shut off nationwide in one evening.

Monday

Scanner traffic from all 12 warehouses caused database lockouts and server crashes.

Tuesday

Shipments halted completely, with multi-million-dollar daily losses. You are brought in.

Four root failures

01

Data quality neglect

Uncleansed legacy records were migrated

02

Skipped testing

UAT compressed, no load test

03

Infrastructure collapse

Scanner surge crashed the servers

04

No safety net

No parallel run or rollback

Big Bang vs. Phased vs. Parallel

PART 1

	Big Bang	Phased Rollout	Parallel Run
How it works	All 12 sites switch at once; legacy is shut off	Pilot warehouse first, then groups of sites	Old and new run together; results compared before retiring legacy
Strength	Fastest timeline, one cutover	Problems found and fixed on a small scale	Safest, with legacy as backup
Weakness	One failure hits everyone; no fallback	Takes longer; temporary integration needed	Costly; staff do double work
Risk level	HIGH	MEDIUM	LOW

Verdict: for 12 interdependent warehouses with no fallback, Big Bang put the whole supply chain at risk at once.

Why Big Bang Was High-Risk Here

PART 1

A failure at one site became a failure at all twelve.

1 **One shared system**
All 12 warehouses depended on it, so one defect hit everyone at once.

2 **No pilot site**
Data and load problems had nowhere to surface safely first.

3 **No fallback**
Legacy was shut off, with no rollback plan or parallel run.

4 **Deadline over readiness**
Go-live followed an arbitrary fiscal date, not test results.

Four Quality Gates That Were Bypassed

PART 1

Data cleansing & validation	Duplicate SKUs and wrong counts went live, causing failed orders and wrong stock.
User acceptance testing	Compressed UAT left warehouse workflows unverified; defects hit live operations.
Stress / load testing	Skipped entirely. Monday's scanner surge caused the lockouts and crashes.
Go/no-go and rollback plan	No safety net existed, so shipments were fully halted by Tuesday.

3-Step Immediate Action Plan

PART 2

1 Stabilize

Hours 0–6

- Declare an incident; form a command team
- Freeze all changes and data loads
- Back up the current database
- Diagnose the lockouts and crashes

2 Manage executives

Hours 0–12, then ongoing

- Brief the COO: what is known, what is not
- Send updates on a fixed schedule (every 4 hours)
- Promise no restoration date without evidence

3 Contain losses

Hours 6–48

- Go manual: paper pick lists, priority customers first
- Notify key customers and carriers
- Log every manual transaction
- Track downtime costs with Finance

Rollback vs. Roll-Forward

PART 2

Rollback *Revert to legacy systems*

- Proven, stable; fastest way to restore shipping
- Monday–Tuesday transactions must be reconciled
- Project is delayed

VS

Roll-Forward *Patch the new ERP*

- Keeps the investment; no second cutover
- Fix time is unknown; operations stay frozen
- Risk of repeat failure if problems run deep

Two prerequisites before deciding

1. Legacy system and data integrity: can legacy be restarted and the transactions reconciled?

2. Root-cause diagnosis and fix estimate: fixable capacity issue or deep data corruption?

Recommendation: roll back if no reliable fix within about 24 hours; relaunch in phases with cleansed data.

Data Quality Framework: Before Migration

PART 3

1 Governance
Assign data owners and quality standards

2 Profiling
Measure duplicates, blanks, and bad formats

3 Cleansing
Merge SKUs, fix vendor codes, cycle-count stock

4 Validation rules
Unique SKU, valid vendor, no negative quantities

5 Mock migrations
Trial loads; reconcile counts against legacy

6 Go/No-Go gate
Migrate only at agreed quality, with owner sign-off

7 Monitoring
Dashboards and regular data audits

This is what would have caught Monday's duplicate SKUs and wrong counts.

Post-Mortem Risk Register

PART 3

Risk Category	Identified Risk	Severity	Impact	Mitigation Strategy
Technical / Infrastructure	No stress/load testing; servers could not handle all 12 warehouses at once	**High**	Lockouts, crashes, shipments halted, multi-million daily losses	Peak-load stress tests, scale the database, monitoring, failover and rollback plan
Data Integrity	Duplicate SKUs, invalid vendor codes, unverified counts migrated	**High**	Wrong stock, failed orders, loss of trust in the system	Data quality framework, cycle counts, validation rules, mock migrations
Change / Organizational	Rushed UAT, weak training, no change readiness	**Medium–High**	Errors, low adoption, staff resistance	Role-based training, warehouse champions, full UAT, on-site support

Executive Memo to the COO and Warehouse Team

PART 4

TO: Chief Operating Officer; Warehouse Operations Team
FROM: Turnaround IT Project Manager
SUBJECT: ERP Outage: Status, Containment, and Restoration Outlook

Situation

Since Monday's cutover, the ERP has failed under simultaneous scanner transactions from all 12 warehouses, causing lockouts, crashes, and a shipment halt. Causes: uncleansed data, compressed testing, no rollback plan.

Immediate actions

- A command team is active; non-essential changes are frozen
- Warehouses move to manual, priority-based processing; log every transaction
- Engineers are diagnosing the failure and confirming legacy data is intact

Expectations

Full restoration will not happen today. Within 24 hours we will decide between rolling back to legacy and fixing the new system, with a firm timeline. Any return will be staged, starting with a few warehouses rather than all twelve.

What we need from you

Updates arrive every four hours. Please prioritize critical customer orders and escalate issues to supervisors immediately.

Key Lessons

WRAP-UP

1

Right strategy

Match the rollout to the risk: phase it or run in parallel.

2

Quality gates

Never skip data cleansing, UAT, load testing, or go/no-go.

3

Rollback path

Always keep a way back before go-live.

4

Honest comms

Communicate early, on a fixed update schedule.

Thank you

Questions & Discussion

Group 5